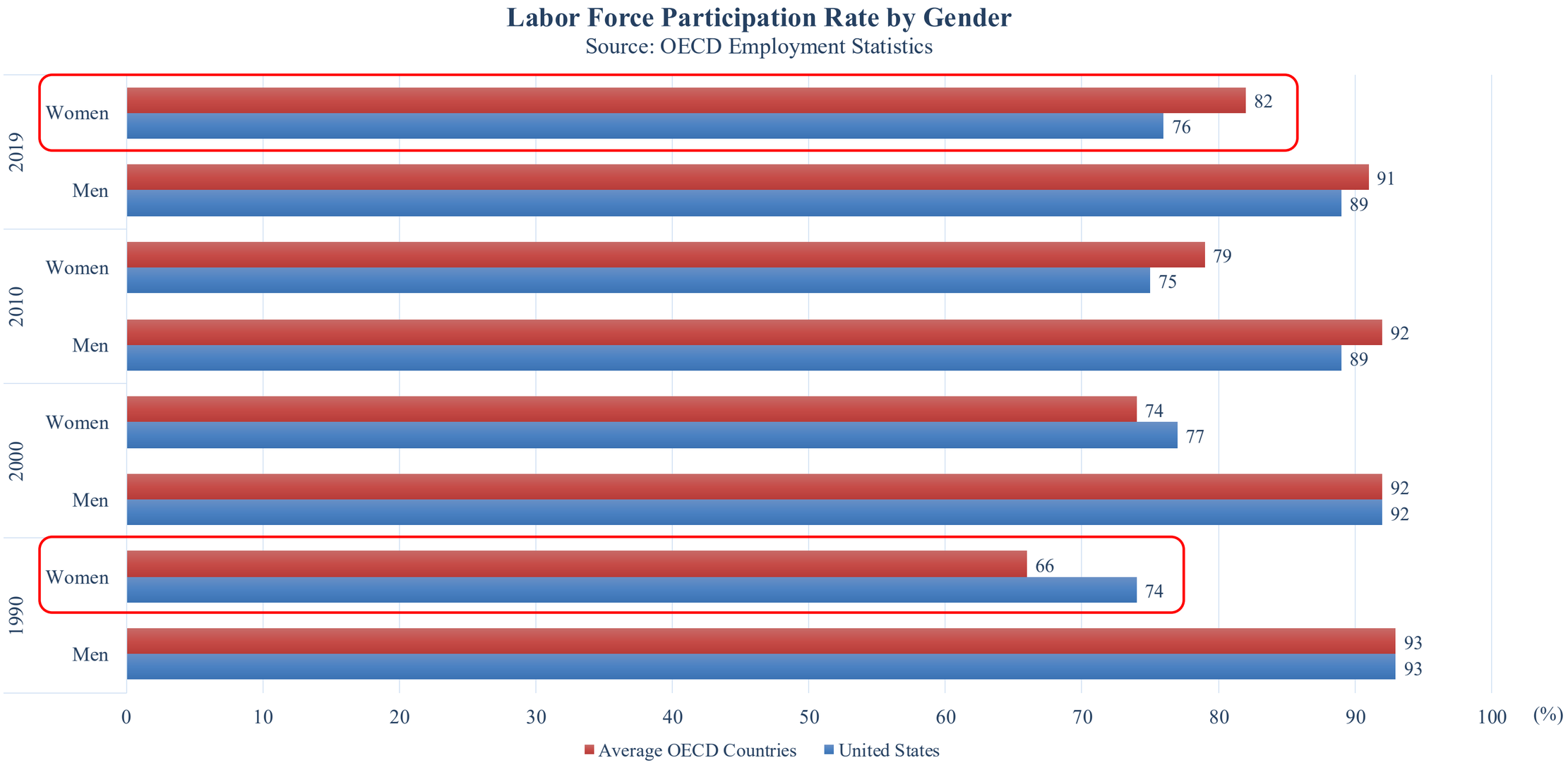
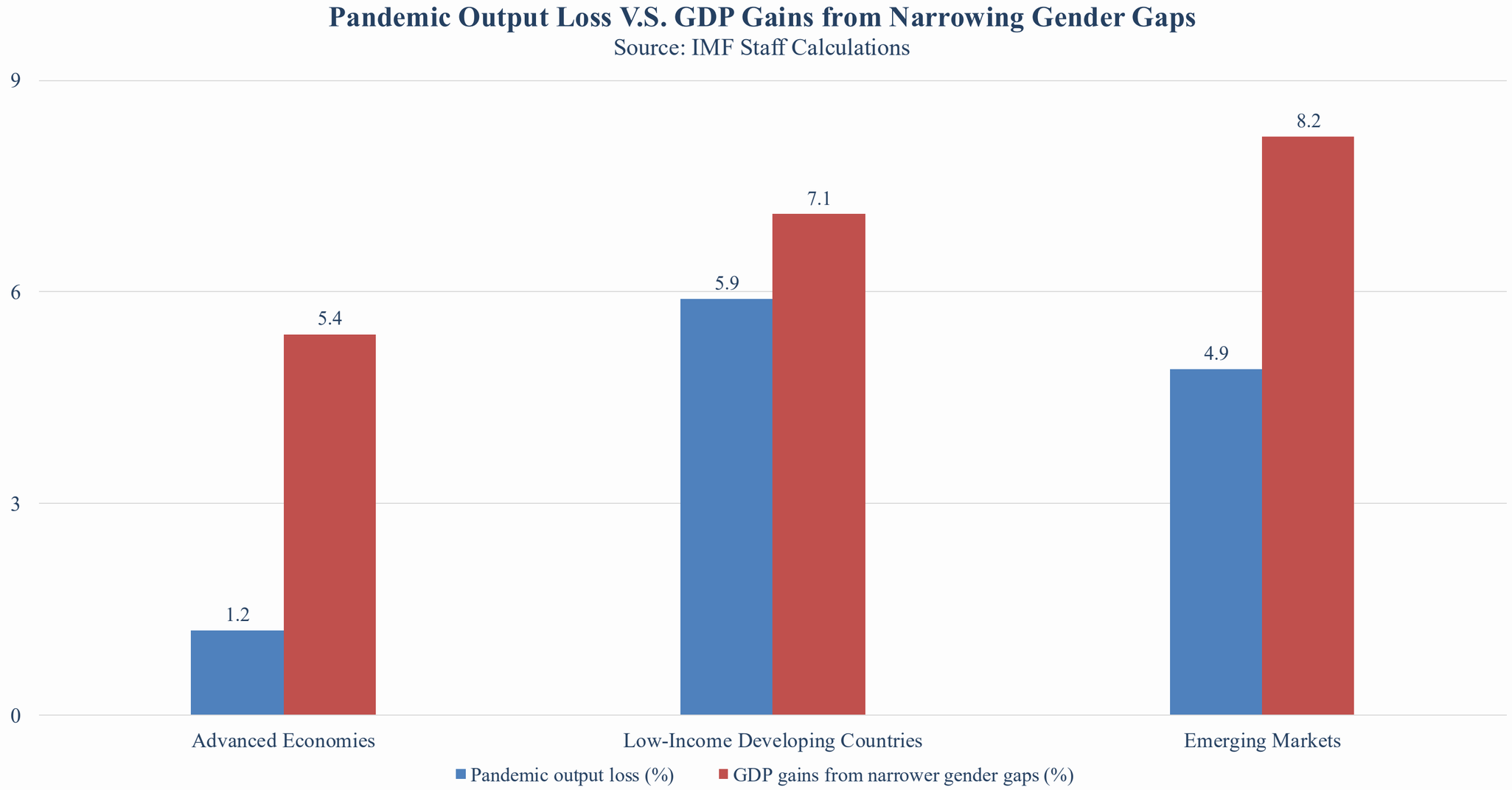
The Outlook for Women’s Employment and Labor Force Participation

2024 / 11 / 27 Peter Lin

What have you noticed?



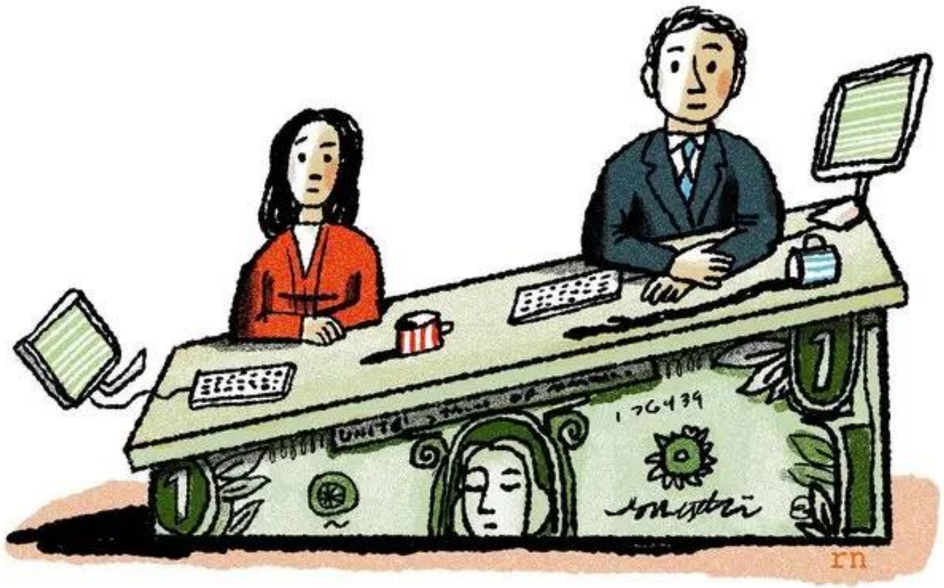
Why does it matter?



Research Question

What were the reasons that caused women’s labor force participation in the U.S. to stagnate over the last 30 years & Why did the U.S. fall behind many other OECD countries?

Changing Earnings Structure



Earnings Function

$$W(h) = \begin{cases} 0 \text{ for } h < \underline{h} \\ \underline{w}h \text{ for } \underline{h} \leq h < \overline{h} \\ \overline{w}h \text{ for } h \geq \overline{h} \end{cases}$$

- Non-linear relation between earnings and hours of work
- Impact of the male partner's work hours on the female partner's labor supply within a household

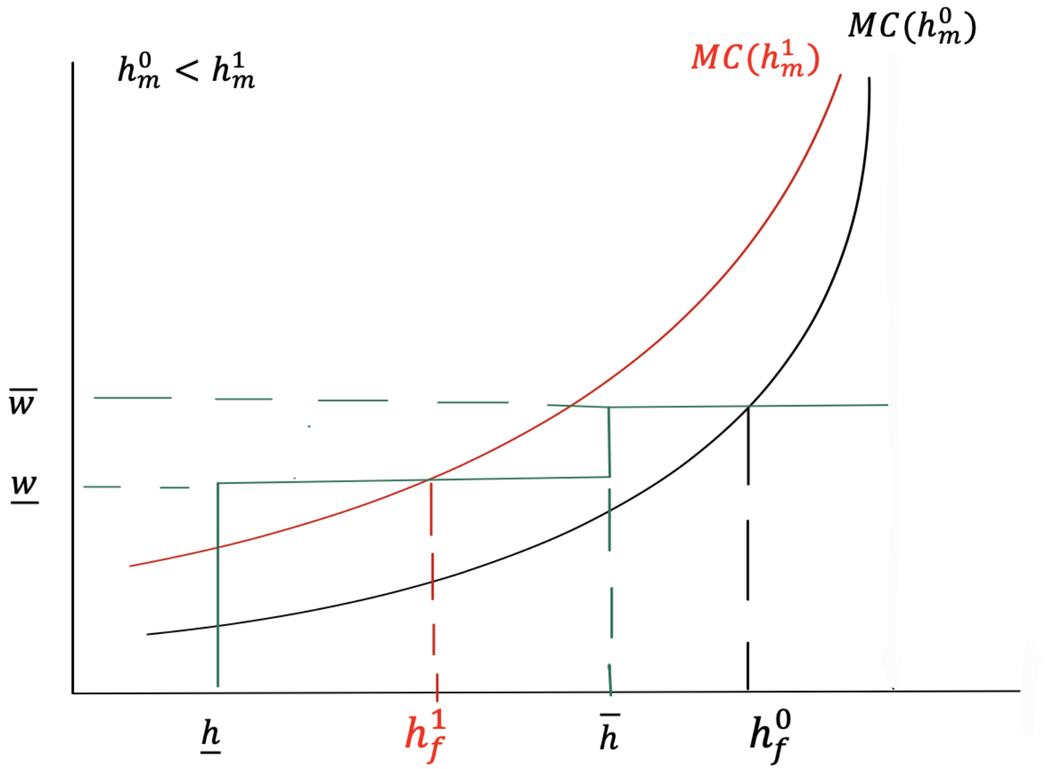
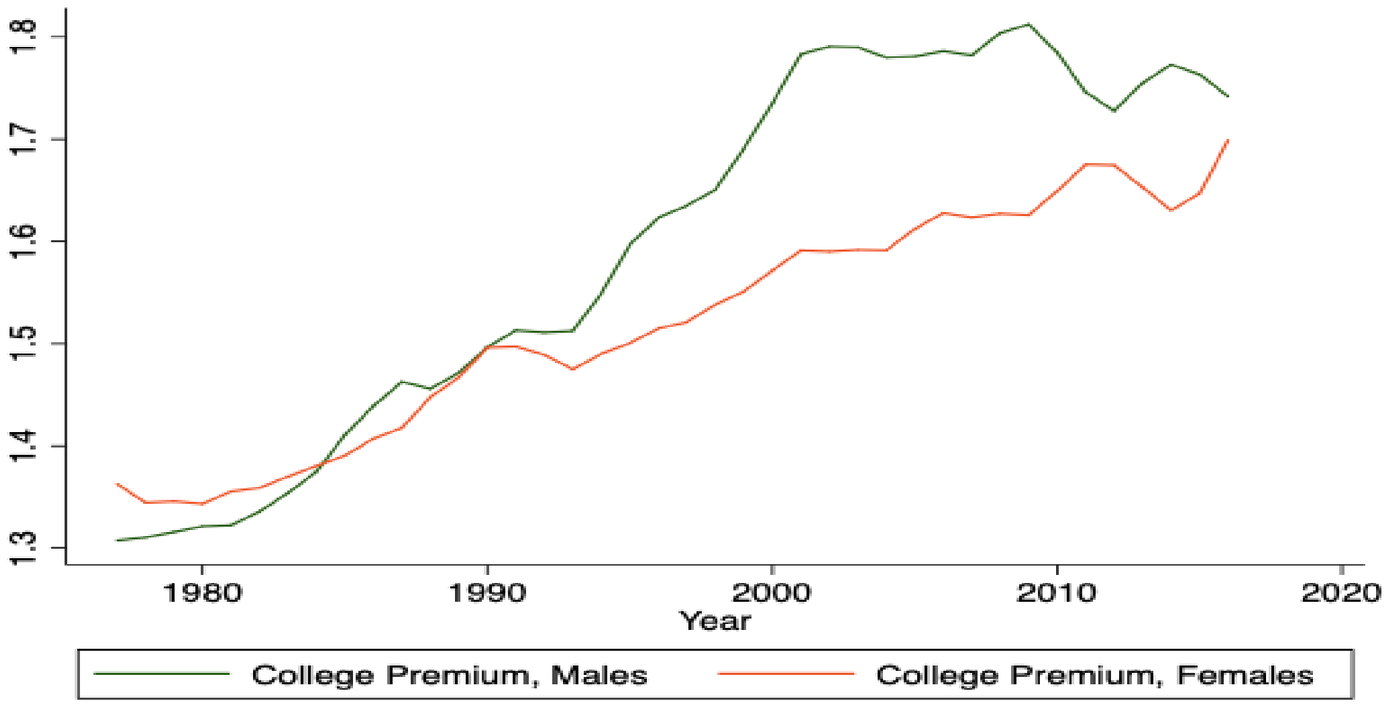


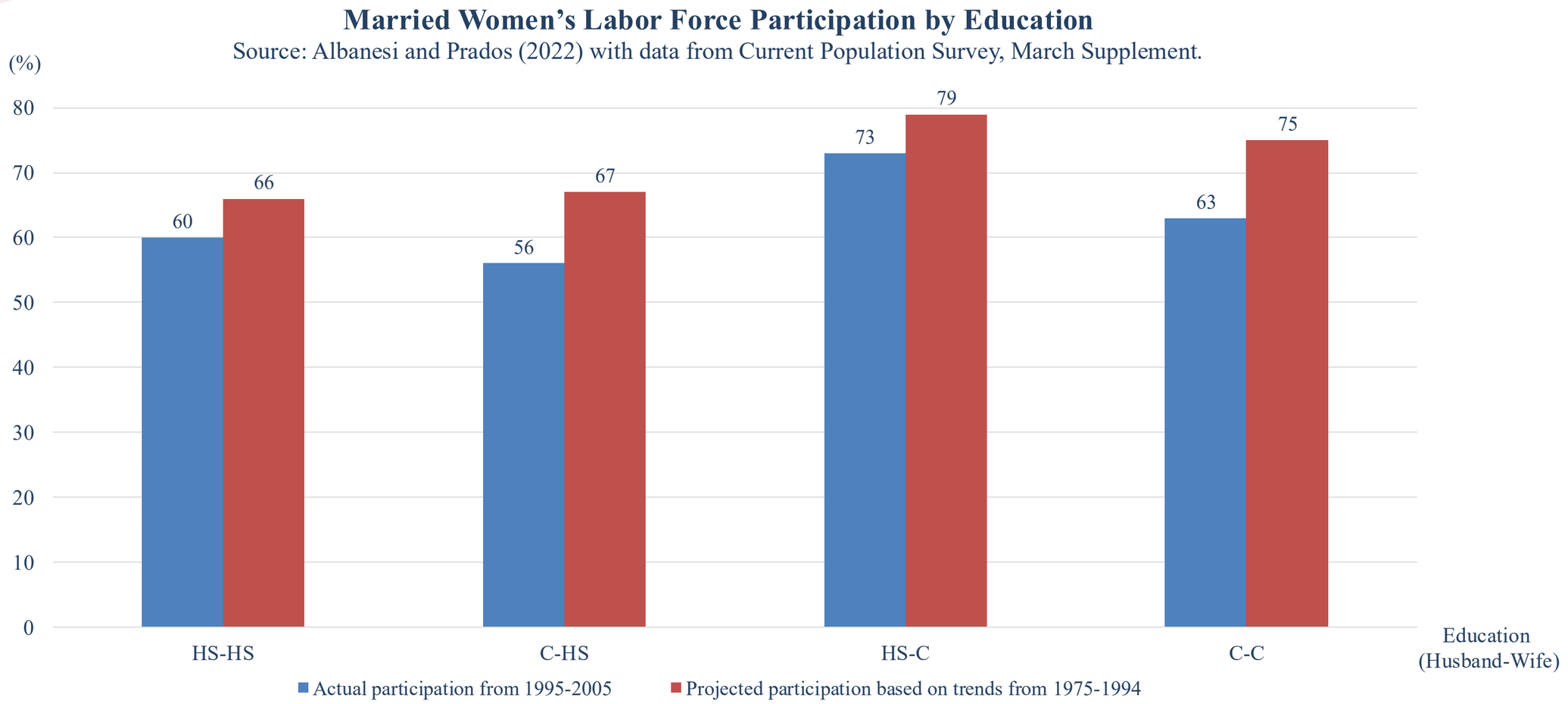
Figure 2: Impact of the Earnings Structure on Wives' Participation

Gender Wage Gap

Figure 3: College Wage Premium by Gender



Slowdown


Married Women's Labor Force Participation by Education
Source: Albanesi and Prados (2022) with data from Current Population Survey, March Supplement.
(%)
80
70
60
50
40
30
20
10
0
60
66
56
67
73
79
63
75
HS-HS
C-HS
HS-C
C-C
Education (Husband-Wife)
Actual participation from 1995-2005
Projected participation based on trends from 1975-1994

Family Support Policies

Social Expenditure Differences

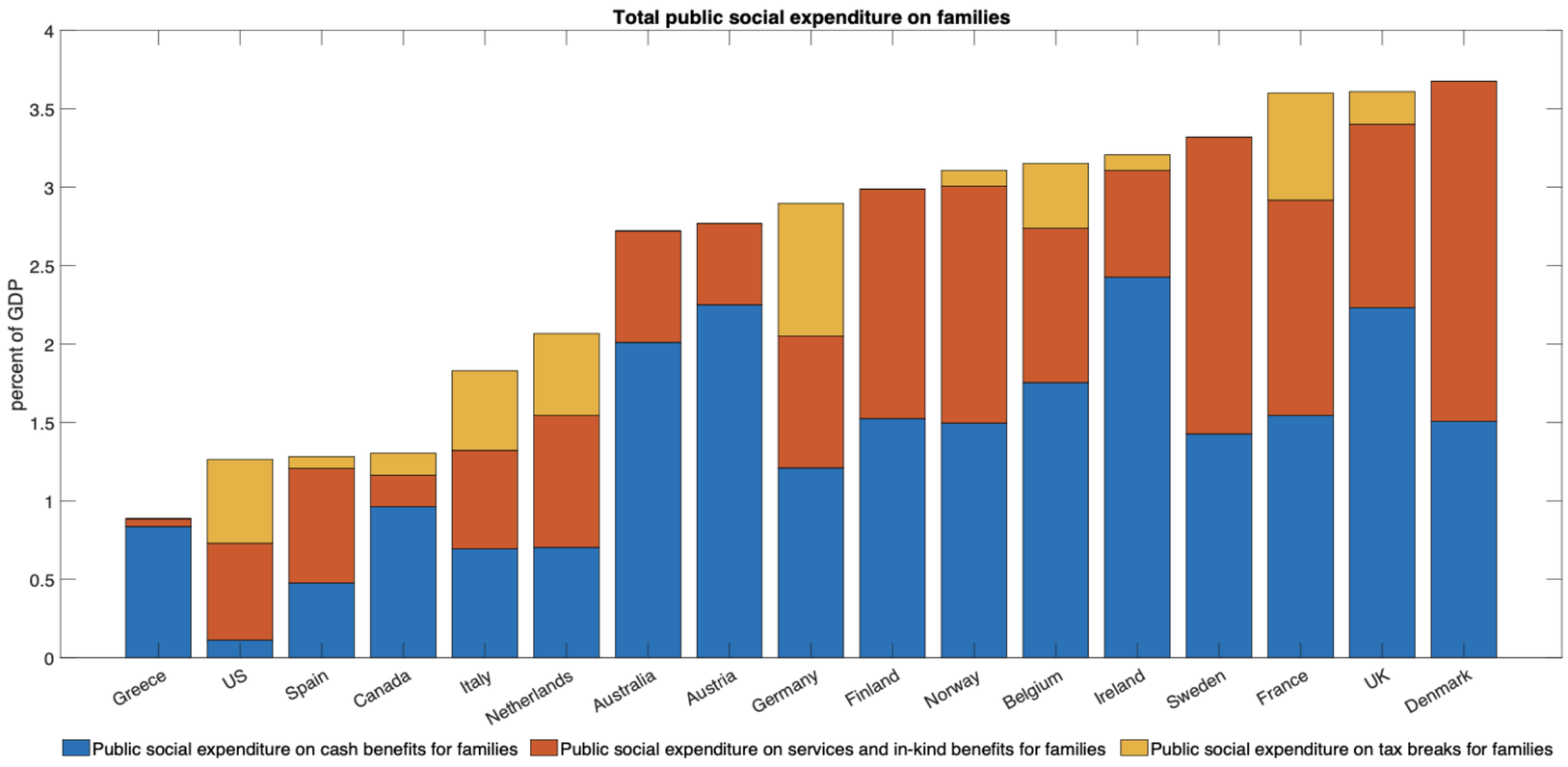


Figure 4: Total public social expenditure as a fraction of GDP and composition, 2000-2015

Income Taxation

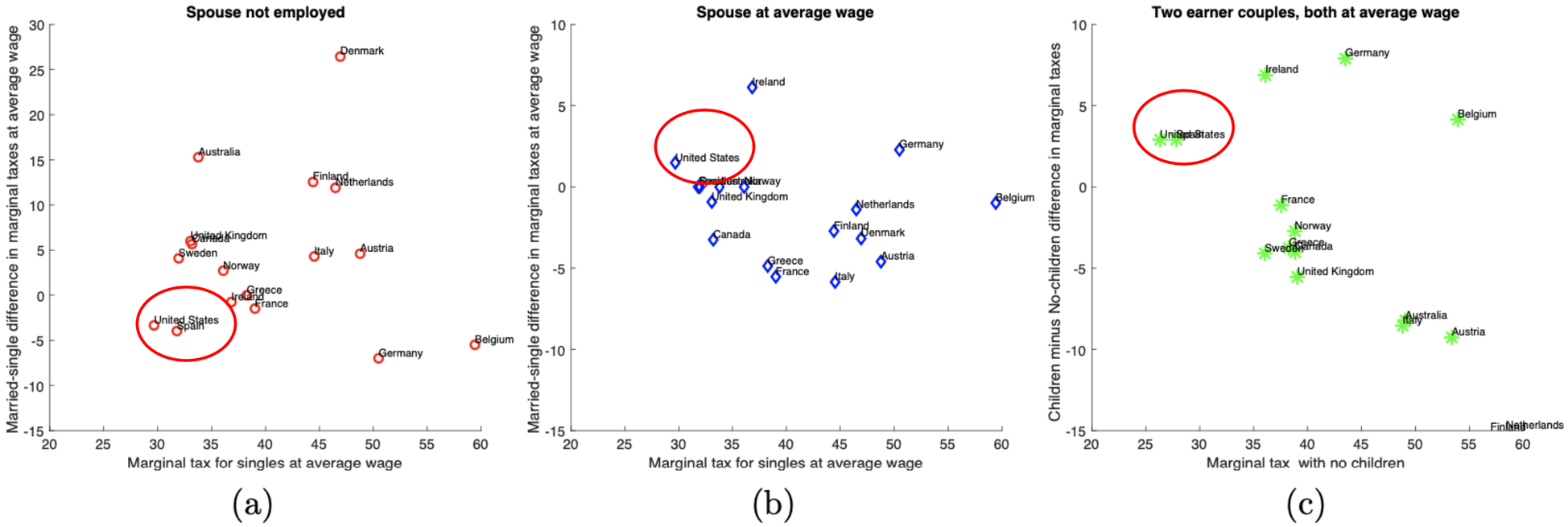
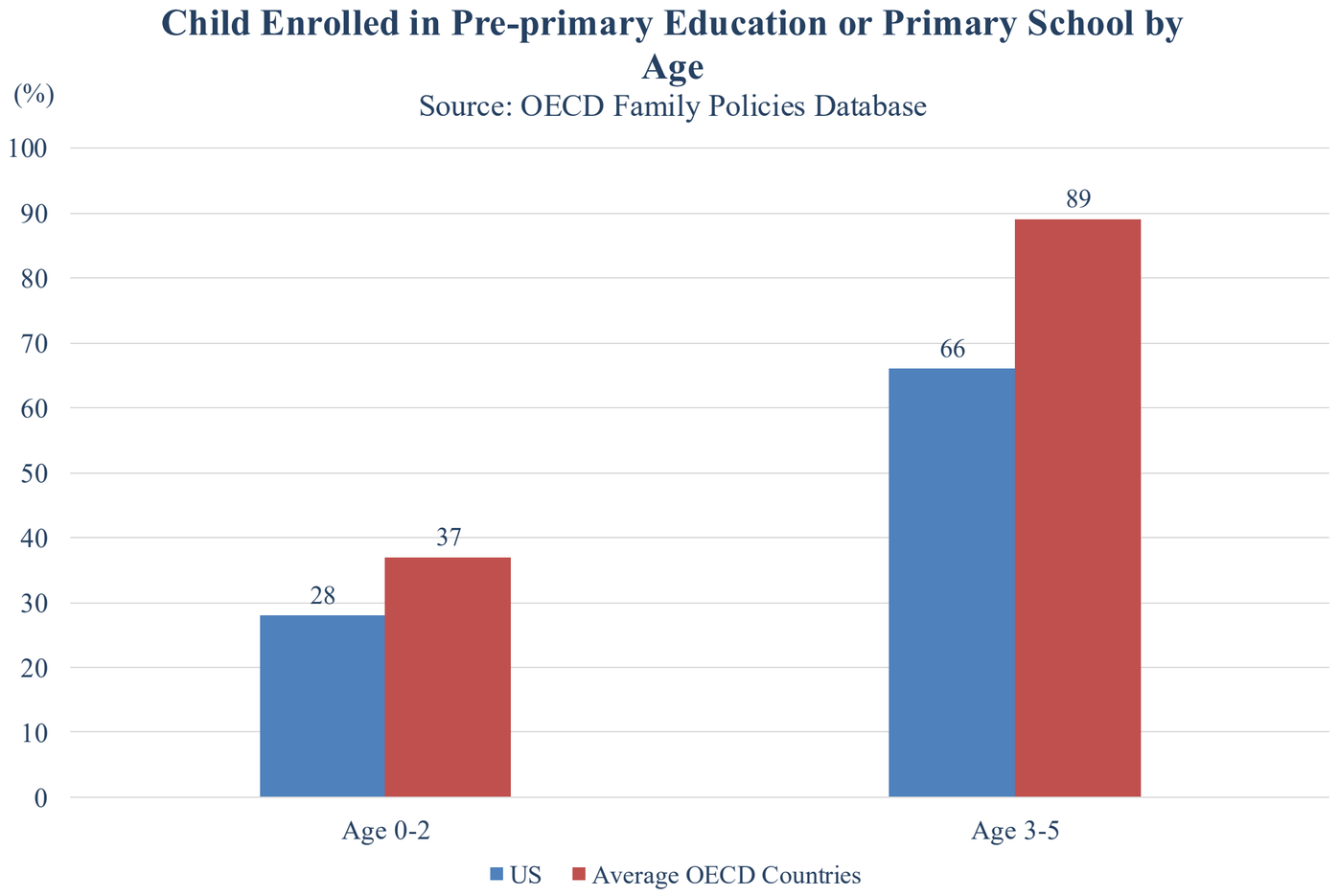


Figure 5: Difference in marginal taxes by marital status and presence of children, 2000-2015

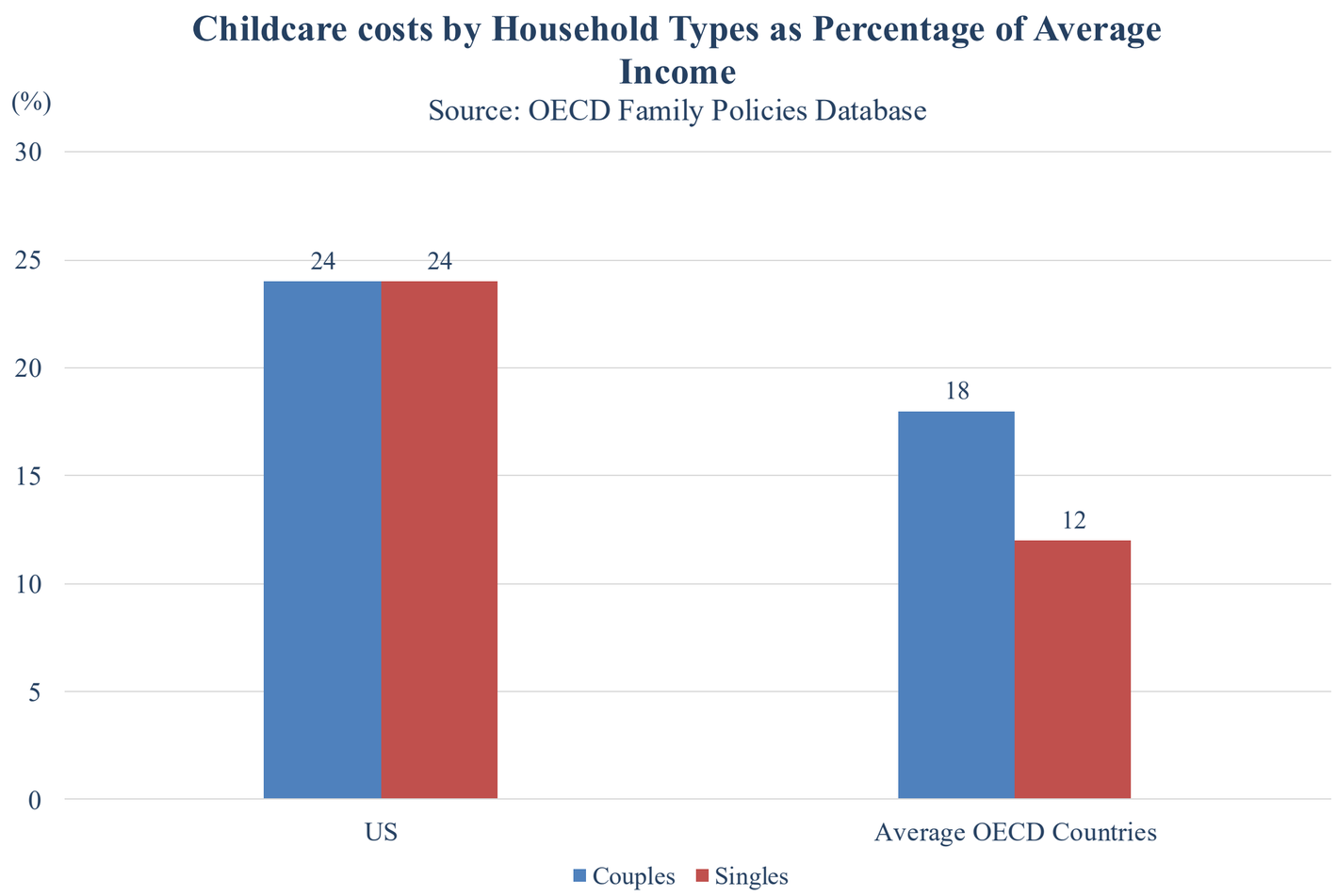
School Enrollment

- School enrollment rates for young children in the U.S. are still low compared to the overall OECD countries
- Increase enrollment rates in early education could help alleviate the burden on parents



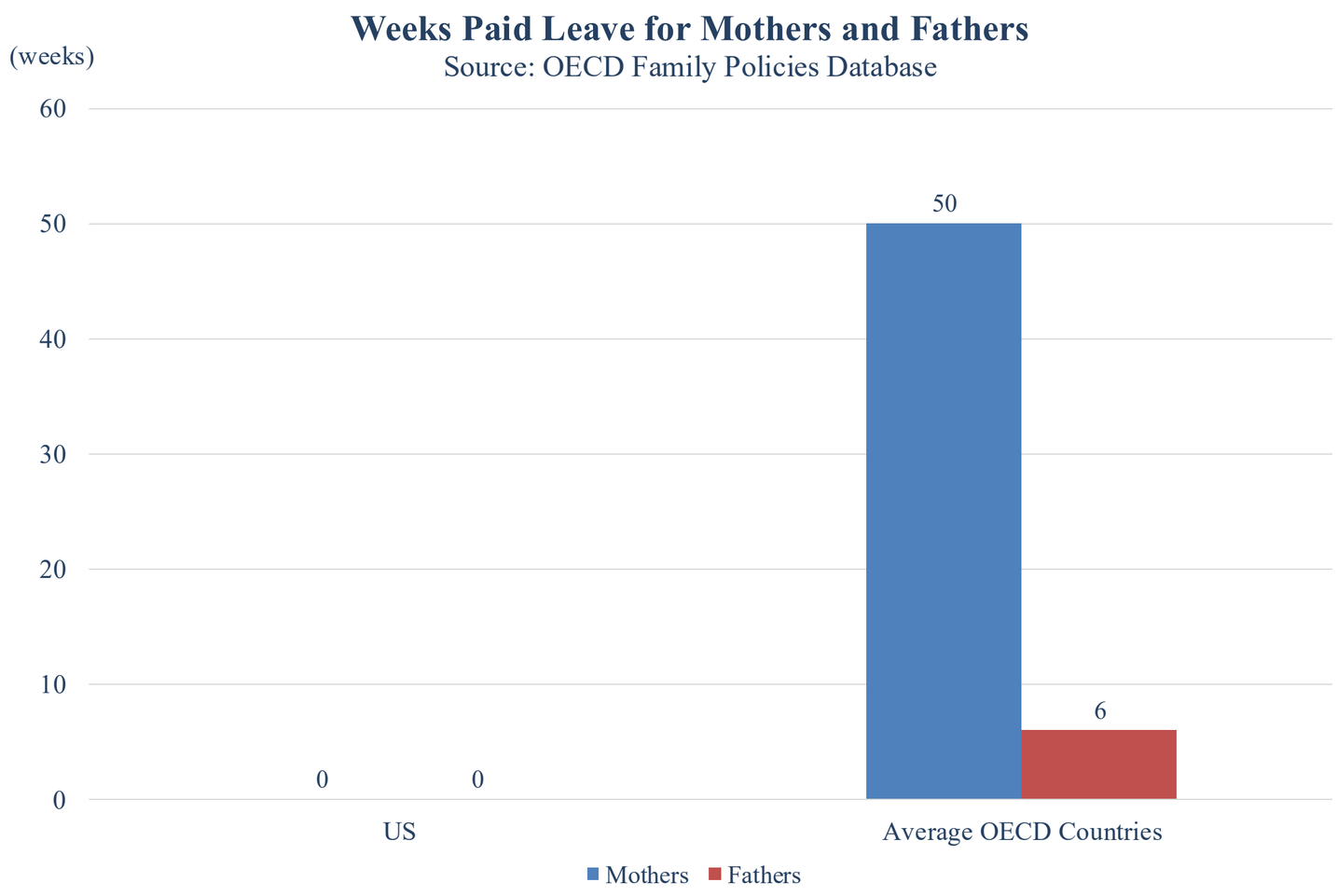
Childcare Costs

- Childcare costs in the U.S. are equally high for both couples and single parents
- High childcare costs are a barrier to women's labor force participation



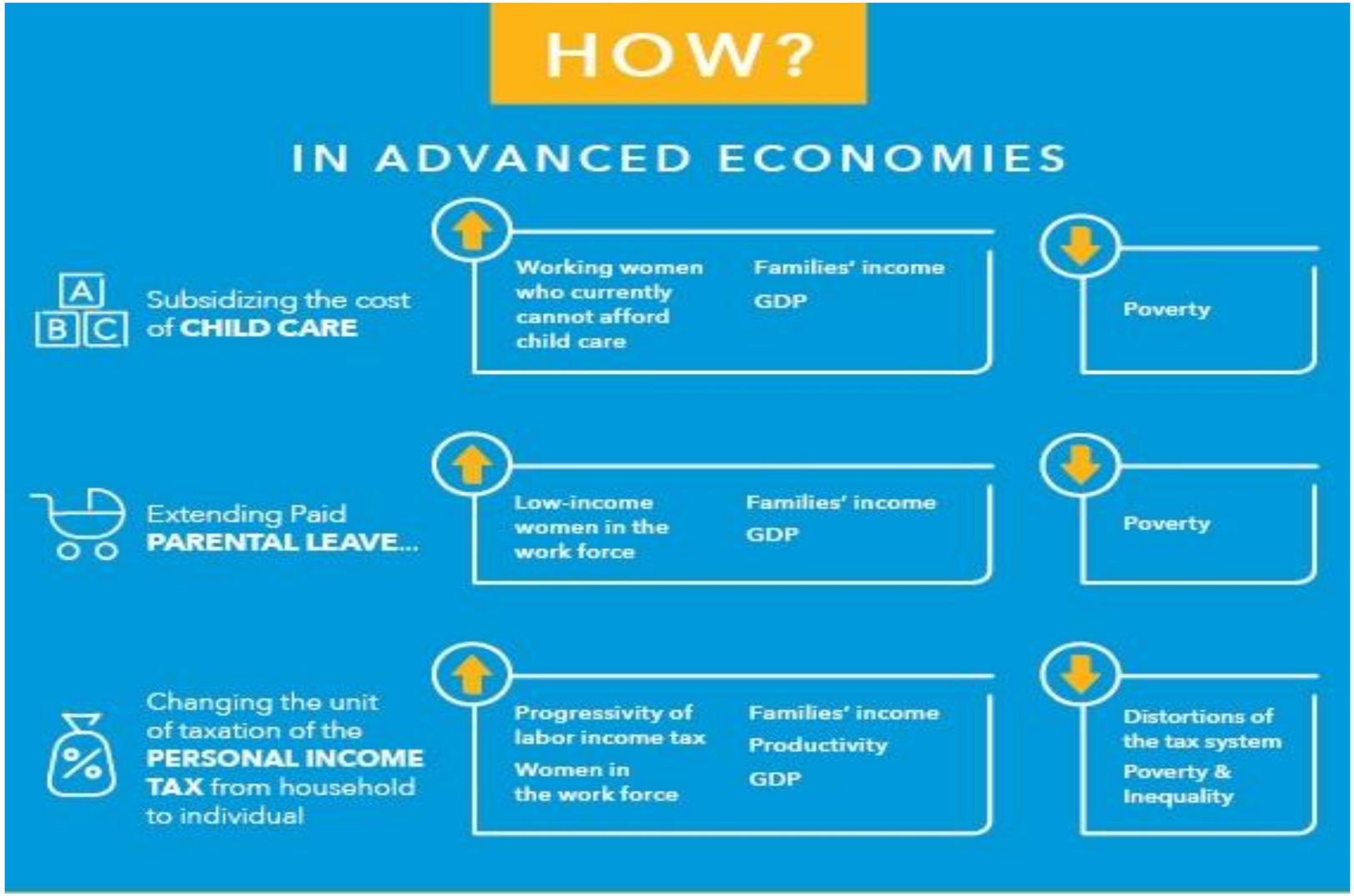
Weeks Paid Leave

- The U.S. offers no paid parental and family leave benefits for either mothers or fathers at the federal level
- Short leave entitlements for women around three months are associated with a 3 ~ 4% rise in employment rates
- Lack of paid leave can deter new mothers from rejoining the workforce



Conclusions & Takeaways

How to improve women's labor force participation?



Thank You!